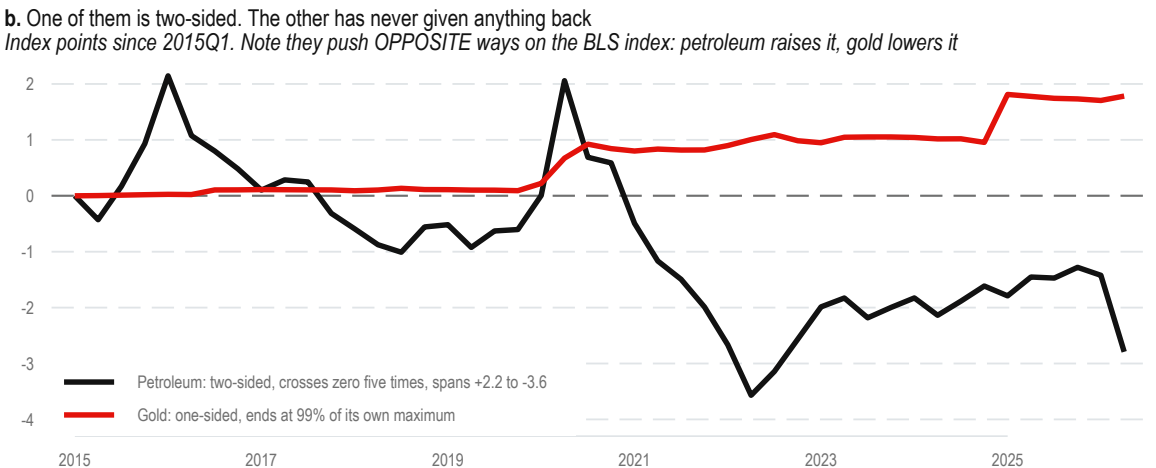
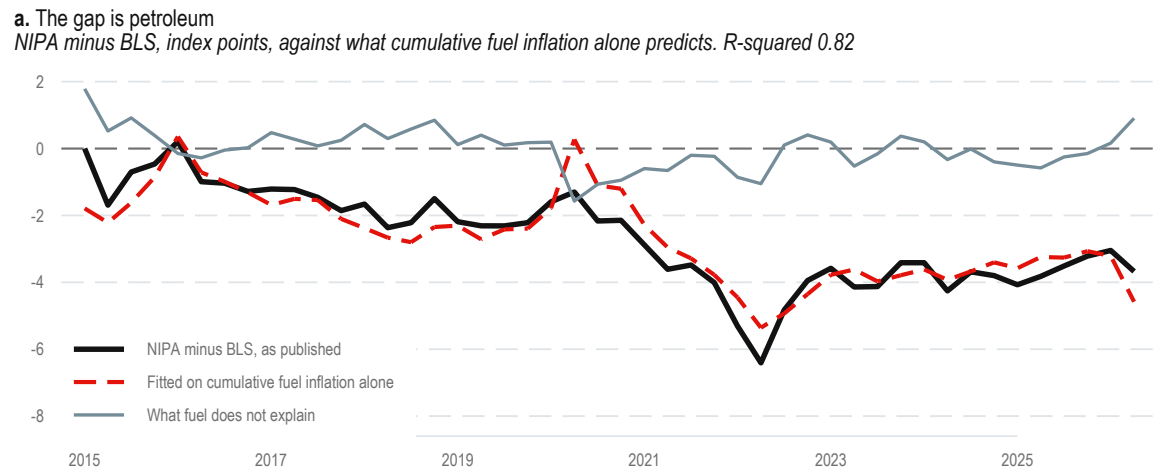




The gap between the two import price indexes is petroleum - and petroleum's error oscillates, while gold's only accumulates

The same defect, a weight set years late, in two components that behave nothing alike



The BLS fuels index (end use 10) correlates 0.95 with WTI in monthly log changes and ranges from 112 to 408 over this window; nothing else in traded goods moves like that. Regressing the NIPA-BLS gap on cumulative fuel inflation alone gives an R-squared of 0.82 and cuts the gap's standard deviation from 1.42 points to 0.60. The quarters that move the gap most are the oil quarters: the 2015 and 2016 crashes, the 2021 recovery, the 2022 spike to -6.4, and the 2022Q3 reversal.

The mechanism is a stale weight meeting a volatile price, exactly as with gold. When oil rises the US imports less of it, so its current weight falls, and an index carrying two-year-old weights keeps overweighting the price that rose - which puts BLS above NIPA, the sign observed. One thing this figure cannot do is separate substitution bias, Fisher against Laspeyres on the same basket, from MXPI simply carrying more petroleum than NIPA goods does. The fitted slope implies a weight difference near 4.4 percentage points, larger than the known coverage exclusions - military goods, used goods, art - can plausibly produce, so substitution is the better bet. It is a bet, not a result; settling it needs a chained current-weight index rebuilt from the BLS components.

Panel b is why this does not displace the gold finding. Petroleum is the same defect in a much larger component, so gold is not unique - but the two behave nothing alike. The fuel-driven part is a function of where the oil price SITS, so it is two-sided: it ranges from +2.15 points to -3.57 and crosses zero five times, positive through the 2015-16 and 2020 crashes and deeply negative through the 2022 spike. It has no permanent level. The gold drift is a cumulated covariance - gold's share spikes together with gold's price, so the errors never cancel - and it is one-sided: it crosses zero only at the origin and ends at 99% of its own maximum, having never given anything back. The lagged-weight defect is general and petroleum is its largest instance, but petroleum's error oscillates and gold's accumulates. That is why the gold drift, much the smaller number, is the one that lasts.

Source: Bureau of Labor Statistics (EIUIR, EIUIR10, EIUIR14270); Bureau of Economic Analysis; US Census Bureau.